enabling law under which the states enact the agriculture trade liberalization laws.

Farmers (Empowerment and Protection) Act, 2020, Would Not Have Changed Contract Farming Much

The land revenue and tenancy laws of most states do not permit leasing of agriculture land. Leasing of land is outlawed in the country. Informal leasing of land for farming, however, is widespread. The arrangement of share-cropping/contract farming, based on leasing of land, is almost universally informal in India.

The 2003 APMC Model Act institutionalized contract farming. The law required a sponsor to register the farmer and a contract farming agreement with an APMC. The contract was prescribed by the government. It also stipulated that no title, rights, ownership or possession in land could be transferred, alienated or vest in the sponsor. The law also exempted contract farming from the mandi tax.

However, this regime did not make much progress. Over the years, APMCs came to be viewed more as culprits rather than facilitators of contract farming. The Central government drafted a specialized Model Contract Act in 2018 to exclude APMCs from contract farming. The Act enacted in 2020 built on the Model APMC Act, 2003, and Draft Model Contract Act, 2018, and intended to mainstream contract farming.

Excluding the jurisdiction of the APMCs, the Act conferred authority on the Central government to issue directions for effective implementation of the provisions. Dispute settlement authority lay with subdivisional magistrates.

The contract farming as envisaged in the Act was essentially the continuation of the same artificial construct of the past seventeen years reflected in state laws. It was also excessively intrusive, regulatory and centralized. It unnecessarily provided for various aspects that are part of